proposal fell through as the then finance minister, V.P. Singh, publicly announced that no new permissions were being granted for the manufacture of cars.

Once TELCO started producing its SUV, it ‘entered into an agreement with Nachi-Fujikoshi Corporation of Japan to manufacture arc and spot welding robots suitable for automobile manufacturing applications’. After the Sierra, it launched Tata Estate, a station wagon designed and manufactured in India.

For Ratan, improvement of the quality of vehicles invariably implied better engines, the heart of an automobile. No sooner had he taken over the company than he realized the need for upgrading the engines of its commercial vehicles. It was also necessary to face the increased competition unleashed by the economic liberalization. With this goal, in 1993, TELCO entered into a 50–50 JV agreement with the US-based Cummins Engine Company Inc., ‘to produce fuel efficient engines with low-emission characteristics for powering the Company’s range’ of medium and heavy vehicles.

The collaboration benefitted from Ratan’s close friendship with Henry Schacht, the chairman and CEO of Cummins Diesel when the agreement was signed. The JV brought the company myriad benefits. It resulted in higher demand and greater customer satisfaction of Tata vehicles, enhancing their resale value: a significant factor influencing the demand for its heavy trucks.

It also helped TELCO smoothly transition to the environment-friendly BS-IV norms in 2017, as Cummins engines are regularly upgraded to conform to stricter norms in countries where the company has significant presence. As of 2019, almost 30 per cent of the commercial vehicles produced by Tata Motors had this engine. It was nearly 60 per cent in the larger commercial vehicles of above 15 tonnes, says Girish Wagh, president of the Commercial Vehicle Business Unit at Tata Motors and the principal architect of Tata Nano, the one-lakh rupee car. TELCO also ‘successfully launched high performance, low emission and fuel efficient medium commercial vehicles with Cummins engines’ in Kenya, Ghana, Zambia and Kuwait.

The initial years of liberalization, however, continued to be challenging for the automobile industry. In 1993, TELCO’s turnover shrank by over 2.7 per cent, the sixth contraction in its forty-eight-year history and the second